Weekly Ship Recycling Report

26 August - 2 September 2022

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Highlights of the Week

Global economy is going through a period of extreme uncertainty and supply shocks. We have the energy crisis, the food crisis, the supply chain crisis and the war, all of which have profound implications for the economic performance of this interconnected world and the prices of all commodities worldwide. The subcontinent ship recycling destinations are struggling with foreign exchange crisis, slowdown in economy and subdued steel demand from end-user industries, which is leading to gloomy sentiments among the end buyers. However, the offer price levels remain stable as strong ocean freight rates ensure scarcity of tonnage in the recycling market. The tanker segment, which has been a major source of tonnage in the recycling market post pandemic is expected to remain tight due to a major reshuffling of trade routes once the EU-wide ban on Russian oil imports comes into effect from December onwards.

Iron ore dropped below USD 100/MT for the first time in over five weeks on signs that the crisis in China's steel industry is worsening. Output in China's vast steel sector is already running well behind last year's pace as the industry reels from a property crisis that shows no signs of abating. Stimulus measures announced by the government have yet to arrest the decline amid a slowing economy.

South Korea, southern parts of Japan and few parts of China are bracing for the imminent destruction as super typhoon Hinnamnor barrels northwards through the East China sea this weekend. Ships in the region are currently adjusting to the typhoon's movements, with many vessels taking detours.

The UK government has agreed with the Trade Remedies Authority's recommendation to extend anti-dumping measures for five further years on import of cold rolled flat steel from China and Russia based on the conclusion that cold rolled flat steel from these countries would likely be dumped if the measure were to be removed, causing injury to UK producers.

Exchange Rates:

USD / INR

This Week	: 79.36
Previous Week	: 79.89
Gained	: 0.66 %

USD / BDT

This Week	: 95.02
Previous Week	: 95.07
Gained	: 0.05 %

USD / PKR

This Week	: 218.79
Previous Week	: 219.50
Gained	: 0.32 %

USD / TL

This Week	: 18.21
Previous Week	: 18.18
Lost	: 0.16 %

India

Steel prices continue to decline

- Steel prices continue edging down in key markets towards the end of the week on harder bargaining by end-buyers as the supply has improved in the domestic market. However, the end buyers from Alang are maintaining their offer price levels due to the pertaining scarcity of units available in the recycling market resulting in competitive bidding among recyclers to secure tonnage.

- The Indian Rupee recovered sharply mid week after hitting a new all-time low by breaching the key psychological level of INR 80/USD. Amid global turmoil and weakness in major Asian peers like the Japanese Yen and the Chinese Yuan, it will be interesting to see to what extent the RBI succeeds in protecting the USD/INR pair.

- Prices of coking coal, a key ingredient in making steel, are rebounding and will likely continue to squeeze margins of steel companies for rest of the year. On a daily trend basis, prices have gone up by over USD 80/MT for the month of August 2022 leading to a cost increase of over USD 60/MT in steelmaking through the blast furnace route.

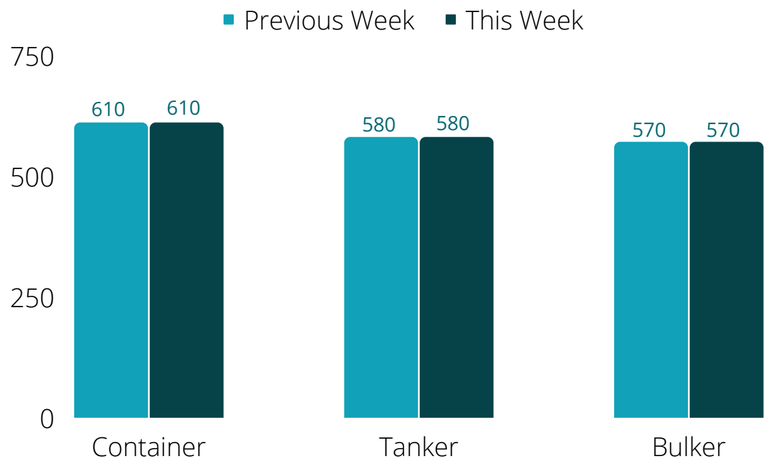
Beaching Dates

7 September to 15 September 2022

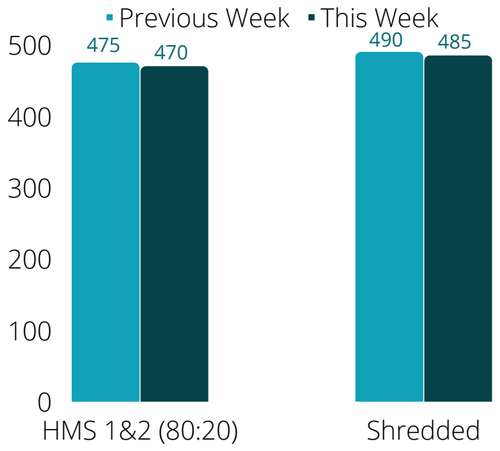
24 September to 2 October 2022

7 October to 15 October 2022

Price for Recycling Ships in India



Price of HMS 1&2 (80:20) and Shredded



Bangladesh

Offer prices remain stable

- The offer prices from the end buyers of Chattogram have seen no further improvements this week due to gloomy sentiments in the domestic steel market. The recyclers are looking to acquire small-sized tonnages to keep the yards functional and prepare for the expected pick in steel demand from the construction sector in the upcoming winter months.

- With dwindling foreign currency reserves, rising citizen protests against fuel prices, long power cuts, and an ongoing economic crisis, Bangladesh may soon need to buy Russian oil, however, the government is concerned that its western allies may not be happy with any possible arrangement between Dhaka and Moscow and this may negatively impact the bailout plea it has made to the IMF.

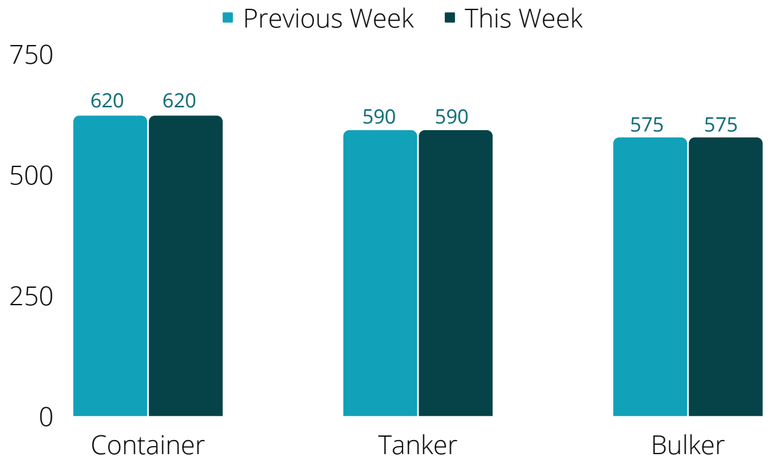
Beaching Dates

9 September to 12 September 2022

25 September to 28 September 2022

8 October to 11 October 2022

Price for Recycling Ships in Bangladesh



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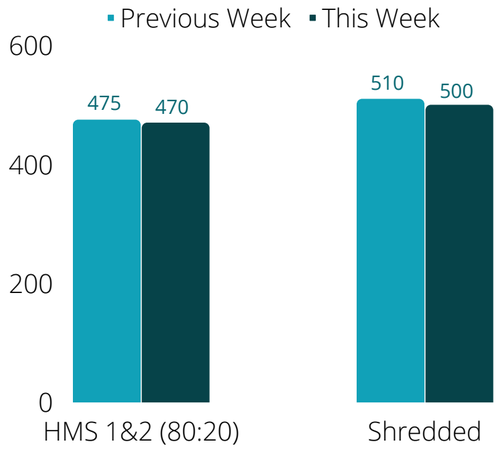


Pakistan

Floods wreak havoc across the country

- Pakistan continues to battle flash floods caused due to incessant rainfall this monsoon season. The water rapids have caused massive destruction reportedly leaving one third of Pakistan under water as of now. The United Nations has now appealed for USD 160 Million aid for flood hit Pakistan as hundreds of homes, businesses, crops, and infrastructure have been destroyed and the nation is awash in suffering.

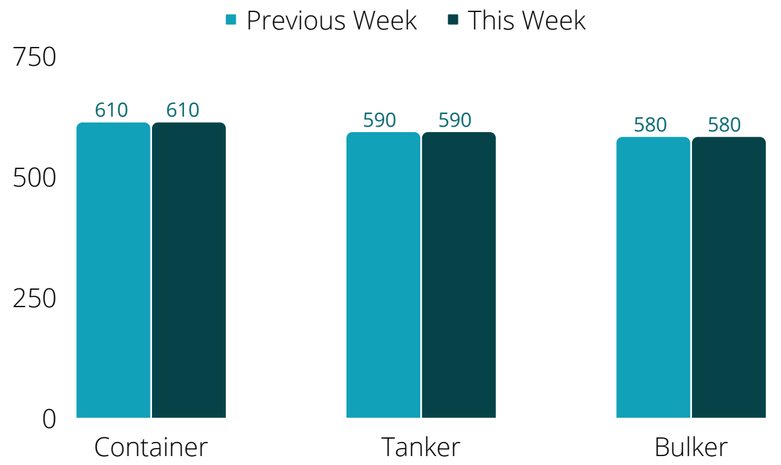
- Many steel mills across the country have either slowed down their operations while few have temporarily closed down due to the extreme slow pace of demand in the domestic market.

- The pressure on Pakistani rupee continued this week despite the comfort derived by the recent IMF tranche as well as investments confirmed by Saudi Arabia and Qatar as the currency is under severe pressure due to drying up of foreign exchange reserves and declining foreign direct investments.

Beaching Dates

Throughout the month

Price for Recycling Ships in Pakistan



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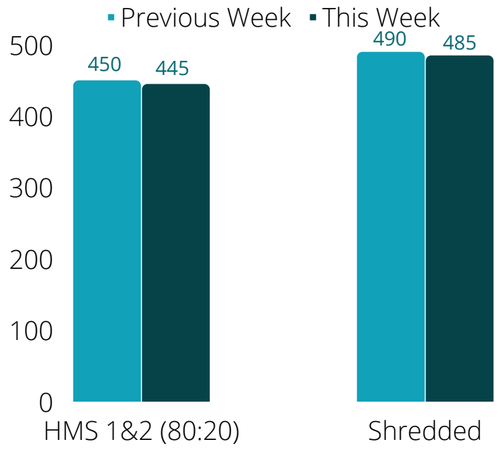


Türkiye

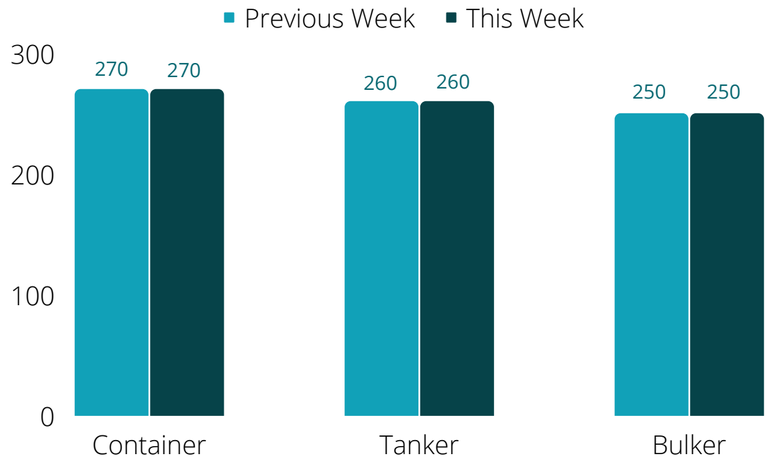
Slight improvement in Imported Scrap offers

- One Cruise ship of about 20,000 LWT has arrived in Aliaga this week.
- Imported scrap offers rose slightly this week owing to scarcity of material and high offers gaining acceptance. Buyers and steel mills were mostly out of the market for two weeks due to low finished steel trades in the domestic and overseas markets.
- With effects from September 2, the Central Bank of Turkey has raised the minimum percentage of foreign exchange deposits that banks need to convert to Turkish Liras, while hiking the forex required reserve ratios for those that remain below the limit.
- Turkey's GDP rose an annual 7.6% in the second quarter despite inflation at a 24-year high, driven by s surge in consumption. The monetary stimulus as well as the booming tourism has heated up demand and spending in the country. However, tighter global financial conditions and looming recession in the eurozone poses an imminent threat to the export market.

Beaching Dates

Throughout the month

Price for Recycling Ships in Türkiye



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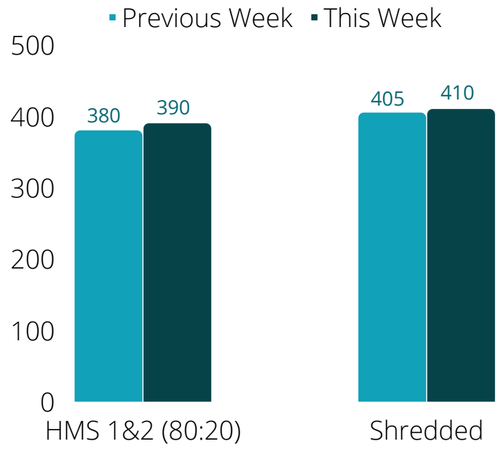
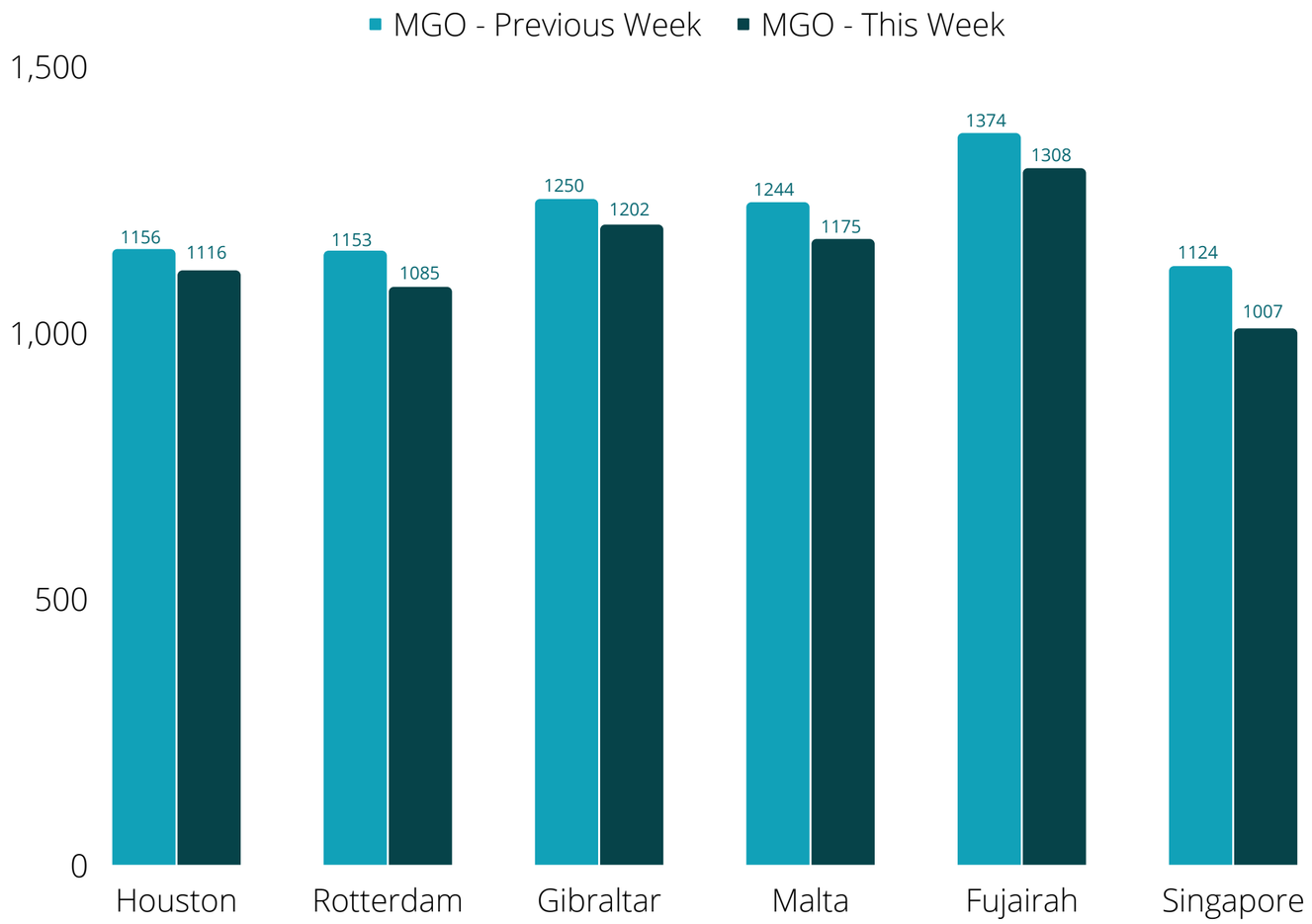


Bunker Prices at Port



Brent Crude

This Week	:	92.07
Previous Week	:	99.83
Movement	:	-7.77 %

WTI Crude

This Week	:	86.16
Previous Week	:	92.88
Movement	:	-7.23 %

- Oil is headed for a third monthly decline, the longest losing run in more than two years, on concern that tighter monetary policy and China's economic slowdown will impact crude demand.
- The return of the Iran nuclear deal could be imminent — and with it, the return of a lot of oil to international crude markets which can dramatically alter oil prices.

List of Vessels Sold this Week

Vessel Name	Type of Vessel	IMO No.	Year of Build	Country of Build	LDT	Term of Sale	Location of Delivery	Sale Price/LDT (USD)
STOLT GROENLAND	TANKER	9414072	2009	UKRAINE	12,154.00	AS-IS	S. KOREA	UNDISCLOSED
STAR TIANJIN	BULKER	9292565	2004	CHINA	23,683.00	AS-IS	INDIA	UNDISCLOSED

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